The Politics of Corruption

Tecnológico de Monterrey

Fall 2026

bgpopescu.net/teaching/corruption

Course Information

Course Title: The Politics of Corruption
Duration: 15 sessions (August 10 – December 4, 2026)
Schedule: Monday lecture, Thursday discussion
Location: TBA

Instructor

Bogdan Popescu
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Office Hours: By appointment

Course Description

Corruption is widely condemned, yet it remains deeply rooted in governments, businesses, and international institutions. This course examines why corruption persists, how it affects societies, and what can be done to reduce it.

The course has three parts. **Part I** introduces the main concepts and methods used to define, measure, and explain corruption. **Part II** examines how corruption developed historically in a small number of countries and how institutions and political choices shaped different outcomes. **Part III** explores corruption in today's globalized world, including its links to foreign aid, natural resources, organized crime, and new technologies.

The course opens with the definitional problem, then teaches students how to read an empirical article critically, because almost everything that follows is an argument built on evidence. No economics, statistics, or programming background is required.

Learning Outcomes

Upon completion of this course, students will be able to:

1. **Read a study critically** — state what an article asks you to believe, find the assumption its authors never wrote down, name what else could have produced the result, and give a calibrated verdict.

2. **Define and distinguish** the main forms of corruption — bribery, fraud, embezzlement, influence trafficking, clientelism, patronage, and state capture — and explain why some corruption is perfectly legal.
3. **Explain why corruption persists**, using both the incentive diagnosis (monopoly, discretion, accountability) and the collective-action logic that explains why everyone can condemn corruption and still take part in it.
4. **Weigh the evidence on what corruption costs**, and say why a cross-country correlation cannot price it.
5. **Compare** how corruption developed and sometimes receded across historical and institutional settings, from the Progressive-Era United States to Hong Kong.
6. **Analyze** the links between corruption and foreign aid, natural resources, organized crime, and new technologies — including where open data and AI tools help and where they fail.

Texts and Resources

No textbook required. See the readings and links under the relevant sessions.

Assessment

The final grade has three components:

- **Contributions to class — 33%**
- **Midterm exam — 33%**
- **Final exam — 33%**

Contributions to Class

The contributions to class are the average of:

- presentation
- physical presence
- class participation
- questions submitted every week
- quality of questions

The mid-term and final exams are closed-book. They will test the improvement of students' knowledge of the theories and facts developed in the course, and independent critical thinking. Both the mid-term and final exams represent 33% of the grade.

A major exam (midterm or final) cannot be made up without the permission of the Dean's Office. The Dean's Office will grant such permission only when the absence was caused by a serious impediment, such as a documented illness, hospitalization or death in the immediate family (in which you must attend the funeral) or other situations of similar gravity. Absences due to other meaningful conflicts, such as job interviews, family celebrations, travel difficulties, student misunderstandings or personal convenience, will not be excused. Students who will be absent from a major exam must notify the Dean's Office prior to that exam. Absences from class due to the observance of a religious holiday will normally be excused. Individual students who will have to miss class to observe a religious holiday should notify the instructor by the end of the Add/Drop period to make prior arrangements for making up any work that will be missed.

Exam dates

The midterm is on **Thursday, September 24** and covers Sessions 1–6. The final exam is on **Thursday, December 3** and covers Sessions 8–14. **Neither exam is cumulative.**

Reading

Each session lists its readings as **Required** or **Recommended**. Required readings are done before the session that assigns them; recommended ones provide additional theoretical, historical, or empirical depth. Both may be assigned for student presentations. Reading completion is tested in the midterm and the final.

Weekly questions

Submit **two questions** on the session's readings before **11pm on Wednesday**, ahead of the Thursday discussion. Each question should be 50–100 words. Begin by referencing a specific part of the text or its overarching claim, then ask a critical question that opens discussion rather than testing recall. Questions are graded on quality, not merely on submission.

Presentations

Each student delivers **one 10-minute presentation** on a reading assigned in advance, drawn from the **Required** or **Recommended** readings of Sessions 3–14. Presentations run on the **Thursday discussion** of each teaching session, from **August 20** onward: two or three students each week, always on that session's own readings. Your reading and date are listed beside that reading on its session page.

Presentations should include a clear introduction, main points, and conclusion. Use visual aids effectively, ensuring text is legible and visuals are relevant. Practice beforehand to stay within the time limit and maintain a confident, professional tone. Be prepared to answer 2–3 questions from peers or the instructor during and after the presentation. Cite your sources, and do not read verbatim from slides or notes.

At ten minutes you cannot summarize everything the reading says, and you are not expected to. Choose the claim that matters and defend a verdict on it.

In addition to summarizing the key arguments or findings, your presentation must include critical analysis of the material. Highlight what the author does not address, the limitations of the research, or potential problems in the analysis or methodology. Think about how the research could be improved, expanded, or connected to broader themes discussed in class.

The fastest route to that analysis is the six moves from Session 2: state the **claim**, reconstruct the **argument** and find the premise nobody wrote down, ask what was **measured** and at what level, ask what the **comparison** was and on what assumption, name the **rival** explanations, and close with a three-tier **verdict** — well supported, plausible but not established, or not established by these data. A presentation that ends on a verdict rather than a summary is doing the work this course asks for.

Rubric for Presentations

Criteria	Weak	Points	Satisfactory	Points	Strong	Points
Critical Analysis and Verdict	Summarizes without analysis. No verdict, or a verdict unsupported by what was presented.	12	Offers some analysis and states a verdict, but the reasoning behind it is thin.	22	Names the unstated premise, weighs rival explanations, and closes on a verdict the evidence presented actually supports.	30
Content Knowledge	Limited or inaccurate grasp of the material.	8	Adequate grasp; identifies the main claim correctly.	15	Accurate and selective — identifies the claim that matters and what the evidence behind it is.	20
Selection and Focus	Attempts to cover everything and finishes none of it, or runs badly over or under time.	6	Covers a reasonable amount within the time, but the choice of what to include seems arbitrary.	11	Chooses one defensible line of argument and develops it fully within the time.	15
Organization	Lacks structure; ideas are disjointed.	6	Somewhat organized, but transitions are weak.	11	Clear introduction, main points, and conclusion, easy to follow throughout.	15
Clarity of Expression	Unclear language or unexplained jargon.	4	Generally clear, though some passages are hard to follow.	7	Communicates precisely and accessibly.	10
Engagement and Response	Reads verbatim; cannot answer questions.	4	Some engagement; answers questions adequately.	7	Speaks to the room, and handles 2–3 questions with substance.	10
Total Points		40		73		100

The presentation is graded on this rubric.

Course Content

Fifteen sessions, each running over two meetings — a Monday lecture and a Thursday discussion built around student presentations. Sessions 1 and 2 are the exception, both taught in the opening week. Session 8 returns to measurement after the midterm; the two exams themselves fall on Thursdays, the midterm on September 24 and the final on December 3. Five weeks of content precede the midterm. Semana Tec (Sep 14–18 and Oct 26–30) interrupts the course twice, and Revolution Day (Mon, Nov 16) is a public holiday.

Session	Date	Topic	Presentations
1	Mon, Aug 10	1 · Welcome, and What Is Corruption?	
2	Thu, Aug 13	2 · Reading a Study Critically	
3	Mon, Aug 17	3 · Incentives, Rents, and the Principal–Agent Problem	
	Thu, Aug 20	*Discussion — Session 3 readings*	Danna · Patricio
4	Mon, Aug 24	4 · Corruption as an Equilibrium: Norms and Collective Action	
	Thu, Aug 27	*Discussion — Session 4 readings*	Nicole · Santiago C. · Chris
5	Mon, Aug 31	5 · The Costs of Corruption	
	Thu, Sep 3	*Discussion — Session 5 readings*	Daniel · Amy
6	Mon, Sep 7	6 · The United States: Patronage, Reform, and the Progressive Era	
	Thu, Sep 10	*Discussion — Session 6 readings*	Barbara · Mía · Diego G.
	Sep 14–18	*Semana Tec — no class*	
7	Mon, Sep 21	7 · Midterm Review	
	Thu, Sep 24	**Midterm Exam** (Sessions 1–6)	
8	Mon, Sep 28	8 · How Corruption Is Measured	
	Thu, Oct 1	*Discussion — where the arguments go next*	
9	Mon, Oct 5	9 · Clientelism and Vote Buying	
	Thu, Oct 8	*Discussion — Session 9 readings*	Gerardo · Mariana · Santiago G.
10	Mon, Oct 12	10 · China and Hong Kong: Corruption, Growth, and Clean Government	
	Thu, Oct 15	*Discussion — Session 10 readings*	Armando · Iván · Alejandra
11	Mon, Oct 19	11 · Kleptocracy: Where the Money Goes	
	Thu, Oct 22	*Discussion — Session 11 readings*	José · Daniela · Nicolás
	Oct 26–30	*Semana Tec — no class*	
12	Mon, Nov 2	12 · Organized Crime, Violence, and State Capture	
	Thu, Nov 5	*Discussion — Session 12 readings*	Leonardo · Luis · María

Session	Date	Topic	Presentations
13	Mon, Nov 9	13 · Technology Against Corruption? Algorithms, Satellites, and the Limits of Detection	
	Thu, Nov 12	*Discussion — Session 13 readings*	Juan · Carlos · Diego R.
	Mon, Nov 16	*Revolution Day — no class*	
	Thu, Nov 19	*Catch-up session — readings not yet presented*	
14	Mon, Nov 23	14 · Final Review: How Countries Escape, and Synthesis	
	Thu, Nov 26	*Discussion — Session 14 readings*	Alejandro · Sofía · Kiara · Ximena
15	Mon, Nov 30	15 · Final Exam Review	
	Thu, Dec 3	**Final Exam** (Sessions 8–14)	

Attendance

Students are required to attend classes following the university's policies. Students with more than three unexcused absences are assumed to have withdrawn from the course. Students with a justified reason for missing class must send an email to the corresponding instructor before the session.

Academic Integrity

The use of artificial intelligence is permitted within the university's ethical guidelines and applicable law, under one condition: every submission includes an appendix stating which AI tools were used, for what purpose (brainstorming, grammar, translation, finding sources, data analysis), and with which prompts. Disclosed use within these bounds is legitimate — learning to use AI responsibly is one of the competencies of this course. Undisclosed AI use is academic dishonesty. The analysis itself — the choice of case, the diagnosis, the argument — must be your own. It is the responsibility of students and instructors, from their respective roles, to know and apply the institutional guidelines.

Any act of academic dishonesty will result in a failing grade on the work in question. Cases of academic dishonesty will be reported to the academic administration.

Students with Special Needs

The university does not discriminate based on disability. Students with approved accommodations must inform their instructors at the beginning of the term. Please see the institutional website for the complete policy.

1 Welcome, and What Is Corruption? Concepts and Definitions

Lecture

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Reading

Nye, Joseph S. (1967). "Corruption and Political Development: A Cost-Benefit Analysis." *American Political Science Review*, 61(2), 417–427. (PDF EN/ES) **Required.**

Johnston, Michael (2005). *Syndromes of Corruption: Wealth, Power, and Democracy*. Cambridge University Press. Read the Preface and Chapter 1, "Wealth, Power, and Corruption." (PDF EN/ES) **Required.**

Philp, Mark (1997). "Defining Political Corruption." *Political Studies*, 45(3), 436–462. (PDF EN/ES) **Recommended.**

Thompson, Dennis F. (2018). "Theories of Institutional Corruption." *Annual Review of Political Science*, 21, 495–513. (PDF EN/ES) **Recommended.**

2 Reading a Study Critically: How to Read an Academic Article

Lecture

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Reading

- No advance reading. The worked example is supplied in class.

3 Incentives, Rents, and the Principal–Agent Problem

Lecture

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Reading

Klitgaard, Robert (1988). *Controlling Corruption*. University of California Press. Read Chapter 1. (PDF EN/ES) **Required.**

Shleifer, Andrei, and Robert W. Vishny (1993). "Corruption." *Quarterly Journal of Economics*, 108(3), 599–617. (PDF EN/ES) **Required.**

Rose-Ackerman, Susan (1978). *Corruption: A Study in Political Economy*. Academic Press. Read Chapters 1–2. (PDF EN/ES) **Recommended. Presentation by Danna B. L.**

Decarolis, Francesco, Raymond Fisman, Paolo Pinotti, and Silvia Vannutelli (2025). "Rules, Discretion, and Corruption in Procurement: Evidence from Italian Government Contracting." *Journal of Political Economy Microeconomics*, 3(2). (PDF EN/ES) **Recommended. Presentation by Patricio B. E.**

4 Corruption as an Equilibrium: Norms and Collective Action

Lecture

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Reading

Persson, Anna, Bo Rothstein, and Jan Teorell (2013). "Why Anticorruption Reforms Fail—Systemic Corruption as a Collective Action Problem." *Governance*, 26(3), 449–471. (PDF EN/ES) **Required. Presentation by Chris C. D.**

Corbacho, Ana, Daniel W. Gingerich, Virginia Oliveros, and Mauricio Ruiz-Vega (2016). "Corruption as a Self-Fulfilling Prophecy: Evidence from a Survey Experiment in Costa Rica." *American Journal of Political Science*, 60(4), 1077–1092. (PDF EN/ES) **Required.**

Fisman, Raymond, and Edward Miguel (2007). "Corruption, Norms, and Legal Enforcement: Evidence from Diplomatic Parking Tickets." *Journal of Political Economy*, 115(6), 1020–1048. (PDF EN/ES) **Recommended. Presentation by Nicole B. M.**

Rothstein, Bo (2011). *The Quality of Government: Corruption, Social Trust, and Inequality in International Perspective*. University of Chicago Press. Read Chapter 7, "The Low Trust–Corruption–Inequality Trap" (Chapter 8, "Quality of Government and Social Trust: Two Experiments," optional). (Ch. 7 PDF EN/ES) (Ch. 8 PDF EN/ES) **Recommended. Presentation by Santiago C. A.**

5 The Costs of Corruption

Lecture

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Reading

Mauro, Paolo (1995). "Corruption and Growth." *Quarterly Journal of Economics*, 110(3), 681–712. (PDF EN/ES) **Required.**

Hunt, Jennifer (2007). "How Corruption Hits People When They Are Down." *Journal of Development Economics*, 84(2), 574–589. (PDF EN/ES) **Recommended. Presentation by Amy E. N.**

Olken, Benjamin A. (2007). "Monitoring Corruption: Evidence from a Field Experiment in Indonesia." *Journal of Political Economy*, 115(2), 200–249. (PDF EN/ES) **Recommended. Presentation by Daniel D. S.**

Fisman, Raymond, and Jakob Svensson (2007). "Are Corruption and Taxation Really Harmful to Growth? Firm-Level Evidence." *Journal of Development Economics*, 83(1), 63–75. (PDF EN/ES) **Recommended.**

6 The United States: Patronage, Reform, and the Progressive Era

Lecture

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Reading

Wallis, John Joseph (2006). "The Concept of Systematic Corruption in American History." In Edward L. Glaeser and Claudia Goldin (eds.), *Corruption and Reform: Lessons from America's Economic History*. University of Chicago Press. (PDF EN/ES) **Required.**

Glaeser, Edward L., and Claudia Goldin (2006). "Corruption and Reform: An Introduction." In Glaeser and Goldin (eds.), *Corruption and Reform: Lessons from America's Economic History*. University of Chicago Press. (PDF EN/ES) **Recommended. Presentation by Barbara E. V.**

Skowronek, Stephen (1982). *Building a New American State: The Expansion of National Administrative Capacities, 1877–1920*. Cambridge University Press. Read Chapter 3, "Patching Civil Administration: The Limits of Reform in the Party State." (PDF EN/ES) **Recommended. Presentation by Mía F. M.**

Rauch, James E. (1995). "Bureaucracy, Infrastructure, and Economic Growth: Evidence from U.S. Cities During the Progressive Era." *American Economic Review*, 85(4), 968–979. (PDF EN/ES) **Recommended. Presentation by Diego G. G.**

7 Midterm Review

Lecture

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8 How Corruption Is Measured

Exam Responses

Answer key to the midterm written on 24 September.

Open the Answer Key · Spanish New Window

Lecture

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Reading

Olken, Benjamin A. (2009). "Corruption Perceptions vs. Corruption Reality." *Journal of Public Economics*, 93(7–8), 950–964. (PDF EN/ES) **Recommended.**

9 Machines: Clientelism, Patronage, and Vote Buying

Lecture

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Reading

Hicken, Allen (2011). "Clientelism." *Annual Review of Political Science*, 14, 289–310. (PDF EN/ES) **Required. Presentation by Santiago G. C.**

Stokes, Susan C. (2005). "Perverse Accountability: A Formal Model of Machine Politics with Evidence from Argentina." *American Political Science Review*, 99(3), 315–325. (PDF EN/ES) **Required.**

Nichter, Simeon (2008). "Vote Buying or Turnout Buying? Machine Politics and the Secret Ballot." *American Political Science Review*, 102(1), 19–31. (PDF EN/ES) **Recommended. Presentation by Gerardo G. S.**

Finan, Frederico, and Laura Schechter (2012). "Vote-Buying and Reciprocity." *Econometrica*, 80(2), 863–881. (PDF EN/ES) **Recommended. Presentation by Mariana G. B.**

10 China and Hong Kong: Corruption, Growth, and Clean Government

Lecture

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Reading

Ang, Yuen Yuen (2020). *China's Gilded Age: The Paradox of Economic Boom and Vast Corruption*. Cambridge University Press. Read Chapter 1, "Introduction: China's Gilded Age." (PDF EN/ES) **Required. Presentation by Alejandra L. C.**

Manion, Melanie (2004). *Corruption by Design: Building Clean Government in Mainland China and Hong Kong*. Harvard University Press. Read Chapter 6, "Institutional Designs for Clean Government." (PDF EN/ES) **Required.**

Chen, Ting, and James Kai-sing Kung (2019). "Busting the 'Princelings': The Campaign Against Corruption in China's Primary Land Market." *Quarterly Journal of Economics*, 134(1), 185–226. (PDF EN/ES) **Recommended. Presentation by Armando G. P.**

Wedeman, Andrew (2012). *Double Paradox: Rapid Growth and Rising Corruption in China*. Cornell University Press. Read Chapter 1, "A Double Paradox." (PDF EN/ES) **Recommended. Presentation by Iván G. L.**

11 Kleptocracy: Where the Money Goes

Lecture

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Reading

Andersen, Jørgen Juel, Niels Johannesen, and Bob Rijkers (2022). "Elite Capture of Foreign Aid: Evidence from Offshore Bank Accounts." *Journal of Political Economy*, 130(2), 388–425. (PDF EN/ES) **Required. Presentation by José L. V.**

Ross, Michael L. (2001). "Does Oil Hinder Democracy?" *World Politics*, 53(3), 325–361. (PDF EN/ES) **Recommended.**

Svensson, Jakob (2000). "Foreign Aid and Rent-Seeking." *Journal of International Economics*, 51(2), 437–461. (PDF EN/ES) **Recommended. Presentation by Daniela M. D.**

Brollo, Fernanda, Tommaso Nannicini, Roberto Perotti, and Guido Tabellini (2013). "The Political Resource Curse." *American Economic Review*, 103(5), 1759–1796. (PDF EN/ES) **Recommended. Presentation by Nicolás M. C.**

12 Organized Crime, Violence, and State Capture

Lecture

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Reading

Dal Bó, Ernesto, Pedro Dal Bó, and Rafael Di Tella (2006). " 'Plata o Plomo?': Bribe and Punishment in a Theory of Political Influence." *American Political Science Review*, 100(1), 41–53. (PDF EN/ES) **Recommended. Presentation by Leonardo M. P.**

Trejo, Guillermo, and Sandra Ley (2020). *Votes, Drugs, and Violence: The Political Logic of Criminal Wars in Mexico*. Cambridge University Press. Read Chapter 1. (PDF EN/ES) **Required.**

Dell, Melissa (2015). "Trafficking Networks and the Mexican Drug War." *American Economic Review*, 105(6), 1738–1779. (PDF EN/ES) **Recommended. Presentation by Luis M. J.**

Acemoglu, Daron, Giuseppe De Feo, and Giacomo Davide De Luca (2020). "Weak States: Causes and Consequences of the Sicilian Mafia." *Review of Economic Studies*, 87(2), 537–581. (PDF EN/ES) **Recommended. Presentation by María M. Z.**

13 Technology Against Corruption? Algorithms, Satellites, and the Limits of Detection

Lecture

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Reading

Adam, Isabelle, and Mihály Fazekas (2021). "Are Emerging Technologies Helping Win the Fight against Corruption? A Review of the State of Evidence." *Information Economics and Policy*, 57, 100950. (PDF EN/ES) **Required.**

Medina-Hernández, Andrés, János Kertész, and Mihály Fazekas (2026). "Learning from Sanctioned Government Suppliers: A Machine Learning and Network Science Approach to Detecting Fraud and Corruption in Mexico." *Scientific Reports*. (PDF EN/ES) **Recommended. Presentation by Juan O. E.**

Bauhr, Monika, Ágnes Czibik, Jenny de Fine Licht, and Mihály Fazekas (2020). "Lights on the Shadows of Public Procurement: Transparency as an Antidote to Corruption." *Governance*, 33(3), 495–523. (PDF EN/ES) **Recommended. Presentation by Carlos O. C.**

Beraja, Martin, Andrew Kao, David Y. Yang, and Noam Yuchtman (2023). "AI-tocracy." *Quarterly Journal of Economics*, 138(3), 1349–1402. (PDF EN/ES) **Recommended. Presentation by Diego R. R.**

Dasgupta, Aditya (2026). "Hidden Fires: Real Versus Measured Performance in Bureaucracies." Working paper, University of California, Merced. (PDF EN/ES)

14 Final Review: How Countries Escape, and Synthesis

Lecture

Open the Slides

Reading

Olken, Benjamin A., and Rohini Pande (2012). "Corruption in Developing Countries." *Annual Review of Economics*, 4, 479–509. (PDF EN/ES) **Required. Presentation by Kiara V. L.**

Mungiu-Pippidi, Alina (2015). *The Quest for Good Governance: How Societies Develop Control of Corruption*. Cambridge University Press. Read Chapter 1. (PDF EN/ES) **Recommended. Presentation by Alejandro R. E.**

Rothstein, Bo, and Jan Teorell (2008). "What Is Quality of Government? A Theory of Impartial Government Institutions." *Governance*, 21(2), 165–190. (PDF EN/ES) **Recommended. Presentation by Sofía S. P.**

Rose-Ackerman, Susan, and Bonnie J. Palifka (2016). *Corruption and Government: Causes, Consequences, and Reform*, 2nd ed. Cambridge University Press. Read Chapter 13, "Domestic Conditions for Reform," and the Conclusions. (Ch. 13 PDF EN/ES) (Conclusions PDF EN/ES) **Recommended. Presentation by Ximena O. V.**

15 Final Exam Review

Lecture

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